

TSCO One Pager

Rule One Investing — Stage 1

Company: Tractor Supply Company (TSCO)

Date: March 2026

Stage: 1 — One Pager (Filter)

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RULE ONE INVESTING

One Pager

Date: March 2026

Company Information

Field	Value
Company Name	Tractor Supply Company
Last Price	Not available in data packet
Stock Ticker	TSCO
Industry	Farm & Rural Lifestyle Retail

Minimum Standards

Standard	Value	Pass?
Market Cap (In Millions)	Not available in data packet*	Likely Yes
Company Headquarters	Brentwood, Tennessee, USA	Yes
Public >= 7 Years?	Yes (founded 1938, IPO ~1993)	Yes
Debt < 3 Years Earnings?	0.14 years (\$150M LT Debt / \$1,096M Earnings)	Yes

TSCO is a well-known large-cap company trading on NASDAQ. Market cap well exceeds \$200M threshold.

Meaning KPIs

KPI	Value
In your 3 Circles?	See below
Number of Gurus	Not available in data packet
Rule One Score	Not available in data packet
Bigger in 10 Years?	Probably

3 Circles rationale: Tractor Supply is accessible if you live in rural or suburban America, own pets, maintain property, garden, or have any connection to the rural lifestyle. You don't need to be a farmer — most customers are recreational landowners, hobby farmers, and pet owners. If you've walked into a Tractor Supply store and understand why people shop there instead of Home Depot or Walmart, you have an edge.

Bigger in 10 Years? Probably. Tractor Supply is the dominant rural lifestyle retailer with ~2,270 stores and a stated target of 3,000+. The rural/suburban migration trend post-COVID is a tailwind. Petsense by Tractor Supply adds a second growth

vector. The customer base (rural homeowners, pet owners, hobby farmers) is stable and non-cyclical in spending habits. The main risk is market saturation as they approach store count targets.

Management KPIs

KPI	Value	Pass?
Return on Equity ($\geq 10\%$)	42.5%	Yes
Return on Invested Capital ($\geq 10\%$)	40.1%	Yes
Net-Debt to Earnings (< 3 years)	0 (net cash position)	Yes
Net-Debt to FCF (< 3 years)	0 (net cash position)	Yes

All management KPIs pass convincingly. ROE of 42.5% and ROIC of 40.1% are exceptional — these are elite capital allocation numbers for a retailer. Long-term debt has been a steady \$150M for seven consecutive years against \$1B+ in annual earnings, meaning debt is functionally irrelevant. Cash on hand (\$194M) exceeds long-term debt, putting TSCO in a net cash position.

Company Summary

Tractor Supply Company is the largest rural lifestyle retailer in the United States. The company operates approximately 2,270 stores in 49 states, serving recreational farmers, ranchers, and rural homeowners. Product categories include livestock and pet food, hardware and tools, seasonal goods (mowers, heaters, fencing), work clothing, and truck/trailer/towing accessories. Tractor Supply also operates Petsense by Tractor Supply, a chain of pet specialty stores.

How they make money: Retail sales of consumable, usable, and edible (C.U.E.) products — primarily livestock feed, pet food, and other recurring-need items that drive repeat traffic. Hardware, tools, and seasonal goods are higher-margin but less frequent purchases. Revenue is almost entirely US-based with no meaningful international exposure.

Why they might be durable: Dominant position in an underserved niche (rural retail) with no direct national competitor. Walmart and Home Depot don't replicate the full rural lifestyle assortment. High percentage of consumable products (feed, pet food) drives recurring revenue. Store economics are strong — smaller footprints than big-box retailers with lower build-out costs. Customer base is loyal and habitual.

Why they might not be: Growth is decelerating as the store footprint matures — the easy new-store growth is behind them. Same-store sales have been under pressure. The business is entirely US-domestic with no international optionality. Amazon and online competitors could erode non-consumable categories. A sustained rural economic downturn (ag commodity prices, drought) could impact the customer base.

Clarity test: Can you explain what this company does? Yes — they sell feed, tools, and farm supplies to rural Americans through retail stores. Simple and understandable. PASS.

Growth Metrics

Do we see consistent growth across growth metrics over a long period of time?

Annual Financial Data (in millions)

Metric	2019	2020	2021	2022	2023	2024	2025
Revenue	8,352	10,620	12,731	14,205	14,556	14,883	15,524
Earnings	562	749	997	1,089	1,107	1,101	1,096
Operating CF	812	1,395	1,139	1,357	1,334	1,421	1,635
Equity (Book Value)	1,567	1,924	2,003	2,042	2,150	2,270	2,581
FCF	594	1,101	510	584	580	637	740
Gross Profit	2,872	3,762	4,477	4,972	5,228	5,397	5,655
Operating Income	743	997	1,307	1,435	1,479	1,468	1,467
LT Debt	150	150	150	150	150	150	150

Note: EPS and BVPS per-share figures show a discontinuity between FY2023 and FY2024 (shares outstanding jumped from ~108M to ~532M), likely due to a stock split or XBRL tag change. Per-share metrics are omitted from this table. Total dollar figures are unaffected and reliable.

Return Metrics

Metric	2019	2020	2021	2022	2023	2024	2025
ROE	35.9%	38.9%	49.8%	53.3%	51.5%	48.5%	42.5%
ROIC	32.7%	36.1%	46.3%	49.7%	48.1%	45.5%	40.1%
ROA	10.6%	10.6%	12.8%	12.8%	12.1%	11.2%	10.0%

Margin Metrics

Metric	2019	2020	2021	2022	2023	2024	2025
Gross Margin	34.4%	35.4%	35.2%	35.0%	35.9%	36.3%	36.4%
Operating Margin	8.9%	9.4%	10.3%	10.1%	10.2%	9.9%	9.5%
Net Margin	6.7%	7.1%	7.8%	7.7%	7.6%	7.4%	7.1%

Growth Rate Summary

Metric	5-Year CAGR	3-Year CAGR	1-Year
Revenue	7.9%	3.0%	4.3%
Net Income	7.9%	0.2%	-0.5%
Operating Cash Flow	3.2%	6.4%	15.1%
Equity (Book Value)	6.1%	8.1%	13.7%

Growth Assessment

Positives:

- Revenue has grown every single year for 7 consecutive years — no declines
- Equity/book value growth is accelerating: 6.1% (5yr) → 8.1% (3yr) → 13.7% (1yr)

- Operating cash flow is accelerating: 3.2% (5yr) → 6.4% (3yr) → 15.1% (1yr)
- Gross margins are slowly expanding (34.4% → 36.4% over 7 years) — improving pricing power
- ROE has been above 35% for 7 straight years, averaging ~46% — world-class
- Long-term debt has been a flat \$150M for 7 years — zero incremental borrowing to fund growth
- FCF improved from \$594M → \$740M with a steady upward trend since 2021

Concerns:

- Revenue growth is clearly decelerating: 7.9% (5yr) → 3.0% (3yr) → 4.3% (1yr) — none of these are double-digit
- Net income is essentially flat over 3 years (0.2% CAGR) and declined -0.5% in the most recent year
- Operating margins are compressing: peaked at 10.3% (2021), now 9.5% (2025)
- Net margins trending down: 7.8% (2021) → 7.1% (2025)
- ROE and ROIC, while still exceptional, are trending down from 2022 peaks (53.3% → 42.5%)
- CapEx as a % of operating CF is elevated (~55%) due to heavy store buildout — consuming cash flow

Verdict: This is a mature, high-quality business with elite capital returns but decelerating top-line and flat bottom-line growth. Revenue has not hit double-digit growth in the 3-year or 1-year windows. Earnings are essentially plateauing. The company is still growing, but the growth rate is slowing as the business matures. This is not a red flag — Tractor Supply is transitioning from a high-growth retailer to a steady compounder. Whether this passes the growth filter depends on your threshold: the 5-year rates (7.9% revenue, 7.9% earnings) are close to double-digit but not there. The trend is not getting dramatically worse — it's stabilizing at a lower level.

One Pager Screening Result

Section	Result
Minimum Standards	**PASS** — Large cap, US HQ, 33+ years public, negligible debt
Meaning KPIs	**INCOMPLETE** — Guru and R1 Score data unavailable. Business is understandable, likely bigger in 10 years
Management KPIs	**PASS** — ROE 42.5%, ROIC 40.1%, net cash position
Company Summary	**PASS** — Simple, clear business model
Growth Metrics	**CAUTION** — Strong 5yr but decelerating. Revenue and earnings growth below double-digit threshold

Overall: **CONDITIONAL PASS** — Proceed to Pitch Deck with Eyes Open

Tractor Supply is a high-quality business by every management metric — elite ROE/ROIC, zero meaningful debt, stable margins, consistent cash generation. The company summary is crystal clear and the competitive position is strong. Where it falls short of a clean pass is growth consistency: revenue and earnings growth rates are single-digit and the trend is flat-to-declining. This is the profile of a wonderful company that may be maturing past its high-growth phase.

Proceed to Pitch Deck to answer the critical question: is the remaining growth runway (store count expansion to 3,000+, Petsense, same-store sales initiatives) sufficient to support double-digit compounding, or has Tractor Supply become a steady single-digit grower? If the latter, valuation becomes the entire thesis — you need an event-driven price dislocation to make the math work at Rule One's required returns.

Data source: TSCO-datapacket.json (EDGAR XBRL). Price, market cap, guru holdings, and Rule One Score not available in data packet. Per-share metrics (EPS, BVPS) show a data discontinuity in FY2024 and are excluded from analysis — total dollar figures are unaffected.